Finance and Economics Club
IIT Guwahati

Union BUDGET Report

2026-27

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INTRODUCTION

The Union Budget 2026-2027, prepared by the Ministry of Finance Budget Division, is a crucial policy document that outlines the government's economic vision, fiscal priorities, and development roadmap for the coming financial year. In line with the vision of Viksit Bharat 2047, the budget balances ambitious growth objectives with sustained fiscal prudence, reinforcing India's trajectory as one of the world's fastest-growing major economies.

Major Highlights of Union Budget 2026-2027

1. Record Capital Expenditure: The budget increases public capital expenditure to ₹12.2 lakh crore for FY 2026-27 to drive infrastructure-led growth across the country.
2. Fiscal Consolidation: The fiscal deficit is targeted at 4.3% of GDP, reinforcing discipline while supporting development.
3. Manufacturing & Strategic Sectors: Major initiatives such as India Semiconductor Mission 2.0, Biopharma SHAKTI, and the scheme for Rare Earth Permanent Magnets, research, mining, processing and manufacturing.
4. MSMEs & Entrepreneurship: A ₹10,000 crore SME Growth Fund and additional support for micro and small enterprises to enhance competitiveness and job creation.
5. Taxation & Compliance Reforms: Introduction of the New Income Tax Act, 2025, effective from April 2026 for simpler tax filing, reduced TCS rates on overseas education, medical and tour remittances, and extended revised return deadlines.
6. Healthcare & Social Sector: Focus on creating medical tourism hubs, upgrading AYUSH (which stands for Ayurveda, Yoga & Naturopathy, Unani, Siddha and Homoeopathy) laboratories, and applying a customs duty exemption on critical cancer medicines to improve affordability.
7. Technology, Digital & Human Capital: Initiatives such as AVGC Creator Labs in schools and 500 colleges, and AI-driven tools for agriculture exemplify investment in skills and technology.
8. Rural & Regional Development: Support entrepreneurship in the sector to facilitate job creation in Rural and Peri-urban areas. Continue to focus on developing infrastructure in cities with over 5 lakh population (Tier II and Tier III).

MACROECONOMIC FACTORS

Macroeconomic Vision and priorities

The Budget presents a long-term growth strategy aligned with the “Viksit Bharat” vision, aiming to balance rapid development with inclusion and global competitiveness. It focuses on boosting manufacturing, infrastructure and services while prioritizing strategic industries, MSME expansion, energy security, and development of City Economic Regions to strengthen regional growth.

Fiscal Policy Overview

Capital expenditure is increased to ₹12.2 lakh crore (~4.4% of GDP) to maintain investment-driven growth. The fiscal deficit target is reduced to 4.3% of GDP, with public debt projected at around 55.6%, moving toward a medium-term goal of 50%.

On taxation, income-tax slabs remain unchanged, but targeted incentives are introduced (cloud services, IFSC units). Key changes include a MAT cut to 14% with limited credit usage, and higher securities transaction taxes on futures and options.

Trade & Investment Reforms

The Budget supports global trade integration through steps like an upcoming EU FTA and further digitisation of customs and taxation systems. Investment reforms include easing NRI portfolio limits (from 5% to 10%) and simplifying FEMA regulations to attract foreign capital.

Growth, Inflation & Employment Outlook

The Budget aims to sustain strong growth with ~10% nominal GDP growth, translating to ~6–7% real growth. Fiscal discipline combined with infrastructure expansion and manufacturing support is expected to control inflation while generating employment and improving incomes, especially in industrial and rural sectors.

Financial Sector & Credit Policy

The Union Budget 2026 strengthens financial intermediation to support investment-led and inclusive growth by improving credit access for MSMEs, startups, and priority sectors through enhanced credit guarantees and digital lending. Public sector banks are encouraged to expand lending while maintaining asset quality via stronger governance and capital adequacy.

The Budget also deepens capital markets by rationalizing regulations, promoting long-term savings through pension and insurance reforms, and expanding digital financial infrastructure. These measures aim to reduce transaction costs and improve formal credit access, particularly for small businesses and rural areas.

TAXATION PROVISIONS

Structural Reform

- Income Tax Act, 1961 replaced by Income Tax Act, 2025
- Effective from 1 April 2026
- Simplified language, fewer sections, redesigned forms

Ease of Living for Individuals

- Interest from Motor Accident Claims Tribunal → fully tax exempt
- TCS under LRS reduced to 2%:
- Overseas tours
- Education & medical expenses
- Automated system for lower / nil TDS certificates
- Single Form 15G/15H via depositories
- Return revision allowed till 31 March
- Staggered ITR deadlines:
- ITR 1 & 2 → 31 July
- Non-audit cases → 31 August

Litigation & Compliance Reduction

- Assessment and penalty merged into one order
- Pre-deposit for appeal reduced from 20% → 10%
- Updated return allowed even after reassessment
- Minor offences decriminalised
- Maximum imprisonment capped at 2 years

Corporate & Investment Incentives

- MAT made final tax, rate reduced 15% → 14%
- MAT credit allowed only in the new regime
- Buyback taxed as capital gains
- STT increased on futures & options
- Tax holiday till 2047 for foreign cloud companies using Indian data centres
- Safe Harbour for IT services expanded:
- Limit raised from ₹300 cr → ₹2000 cr
- Valid up to 5 years

Key Points from Income Tax Analysis (FY 2025-26 and FY 2026-27)

Tax Slab Structure (New Regime)

- Five income brackets with progressive tax rates: 0%, 5%, 10%, 15%, 20%, 30%
- Standard deduction for salaried employees: ₹75,000
- Tax calculation based on income slabs (e.g., 0-4 lakh at 0%, 4-8 lakh at 5%, etc.)
- Surcharge applicable on income above ₹50 lakh with varying rates (1-37% depending on income level)

Brackets

Below ₹5 Lakh Income Bracket

- Zero tax payable
- ₹5,000 rebate under Section 87A
- Saves ~₹12,500 vs FY 2024–25

₹5–10 Lakh Income Bracket

- Tax up to ₹40,000, fully offset by Section 87A
- Saves ~₹50,000 vs FY 2024–25

Above ₹50 Lakh Bracket

- 30% tax plus surcharge & cess
- ₹1 Cr income: ~₹25.8L tax (25.8%)
- ₹2 Cr income: ~₹76.3L tax (31.9%)

Tax Calculation Methodology

- Tax calculated on progressive slab basis with cumulative brackets
- Rebate u/s 87A: ₹5,000 for taxable income below ₹12 lakh
- Health & Education Cess: 4% surcharge for income ₹50 lakh - ₹1 crore
- Surcharge: 10-37% on income exceeding ₹50 lakh (tiered structure)

Deductions & Benefits

- Standard deduction for salaried employees: ₹75,000
- Benefit u/s 87A: Up to ₹5,000 rebate for lower-income earners
- Health & Education Cess: 4% on taxable income for income above ₹50 lakh
- Special provisions for different taxpayer categories

Comparative Summary (Tax Liability)

- **Income ₹5 lakh: ₹0 tax (0% effective rate)** - saves ₹12,500 vs FY 2024-25
- **Income ₹10 lakh: ₹0 tax (0% effective rate)** - saves ₹50,000 vs FY 2024-25
- **Income ₹12 lakh: ₹0 tax (0% effective rate)** - saves ₹80,000 vs FY 2024-25
- **Income ₹15 lakh: ₹1,05,000 tax (7% effective rate)** - saves ₹65,000 vs FY 2024-25
- **Income ₹25 lakh: ₹2,70,000 tax (10.8% effective rate)** - saves ₹1,10,000 vs FY 2024-25

Old Tax Regime

- Multiple deductions allowed under **sections 80C, 80D, 80E, 80G**, etc.
- Standard deduction discontinued but slab structure and rates available
- Used as comparative baseline for new regime benefits

New Scheme Provisions (FY 2026-27)

- Updated slabs with marginal adjustments
- Enhanced deductions for specific categories
- Liberalized thresholds for **TDS/TCS**
- Manual lower deduction certificate process automated
- Foreign Asset Disclosure framework
- Revised compliance requirements for assessees

Slab Comparison (FY 2025-26 vs FY 2026-27)

- Identical rate structure maintained across both years
- No threshold changes announced
- Continuity in surcharge and cess provisions
- Effective rates remain consistent

Indirect Tax Reforms & Customs Policy Measures

1. Tariff Simplification

- Removal of obsolete customs exemptions
- Effective rates merged into tariff schedule

2. Export Promotion

- Duty-free input limit for seafood exports: 1% → 3%
- Export completion time:
- 6 months → 1 year (leather & textiles)
- Shoe uppers added to duty-free input scheme

3. Energy & Strategic Sectors

- **Customs duty exemption for:**
  - Lithium-ion battery storage systems
  - Solar glass inputs
  - Nuclear power projects till 2035
  - Critical minerals processing equipment

4. Manufacturing & Electronics

- **Duty exemption on:**
  - Aircraft parts & components
  - Microwave oven components

5. Ease of Living Measures

- Customs duty on personal imports reduced: 20% → 10%
- 17 cancer drugs exempted
- 7 new rare diseases added for duty-free medicine imports

6. SEZ Relief

- Temporary permission for SEZ units to sell in DTA at concessional duty due to global slowdown

7. Customs Process Reforms

- Duty deferral for AEOs: 15 days → 30 days
- Advance ruling validity: 3 years → 5 years
- Automated, faceless, trust-based clearance
- Customs Integrated System (CIS) rollout
- AI-based container scanning expansion about indirect taxation

Key Insights

1. Impact on the Common Man

Short-Term Implications

- Improved Convenience: Tax filing becomes simpler with staggered deadlines and a single consolidated form.
- Direct Financial Relief: Motor accident compensation is made tax-free, providing immediate support to affected individuals.
- Higher Trading Costs: Increase in Securities Transaction Tax (STT) raises the tax burden on market trading activities.
- Disappointment on Income Tax Slabs: Income tax slabs remain unchanged, falling short of public expectations.

Long-Term Implications

- **Reduced Harassment and Litigation:** Simplification of procedures is expected to lower compliance-related fear among taxpayers.
- **Faster Dispute Resolution:** Quicker closure of tax disputes improves trust in the tax administration system.

2. Indirect Tax Measures

Short-Term Implications

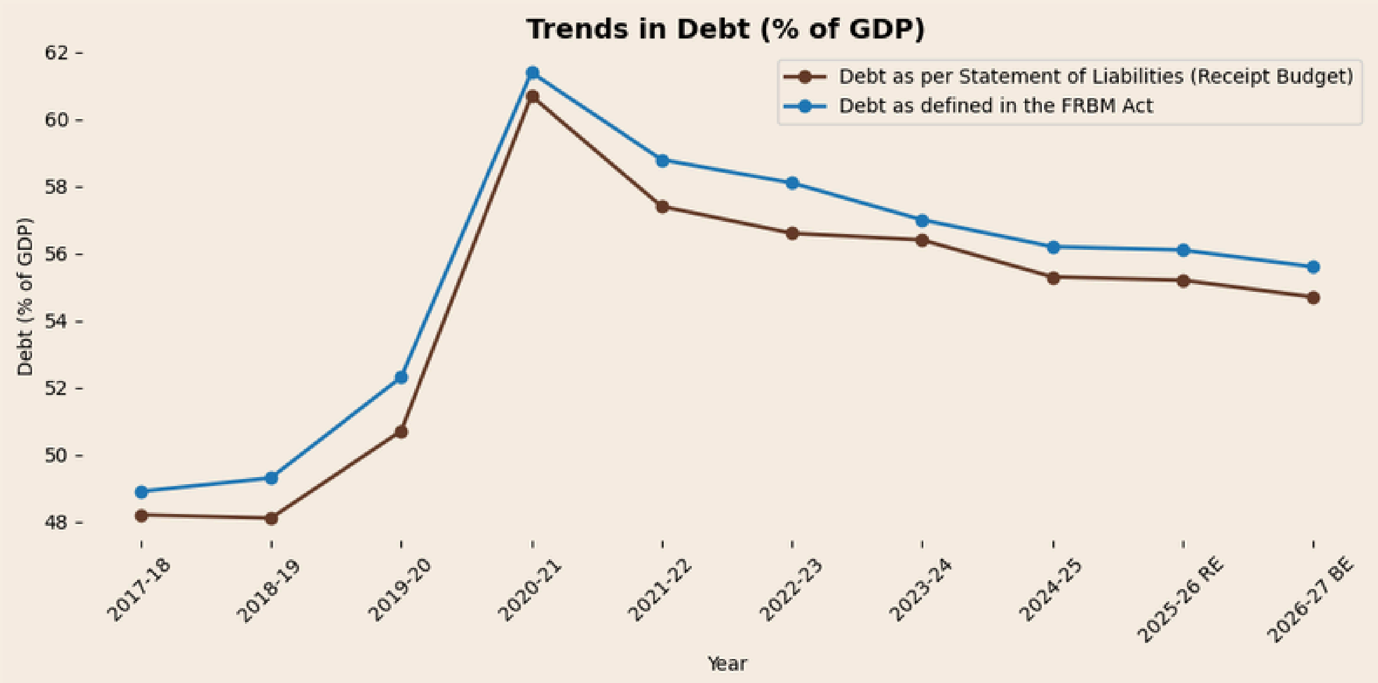
- **Lower Customs Duty on Personal Imports:** Reduction from 20% to 10% enhances affordability for imported personal goods.
- **Healthcare Cost Relief:**
  - 17 cancer drugs fully exempted from customs duty.
  - Rare disease medicines included under exemptions, directly improving healthcare accessibility.

Long-Term Implications

- **Strategic Duty Exemptions Supporting Growth Sectors:**
- These measures strengthen India's manufacturing base and support the clean energy transition:
  - Lithium Battery Storage
  - Solar Glass Manufacturing
  - Nuclear Power Projects (planned up to 2035)

GOVERNMENT EXPENDITURE

- The **debt-to-GDP** ratio was estimated at **56.1% of GDP** in RE 2025–26 and is projected to **decline to 55.6% of GDP** in BE 2026–27. The Central Government has set a target to achieve a debt-to-GDP ratio of 50 ± 1% by 2030, reflecting a strong commitment to fiscal discipline and long-term sustainability.
- The prioritization of the debt-to-GDP ratio over the fiscal deficit in Budget 2026–27 marks a significant policy shift. By focusing on cumulative government debt rather than annual borrowing, the government adopts a more effective approach to ensuring long-term fiscal health.
- Fiscal deficit estimates have **declined from 4.4% of GDP in RE 2025–26 to 4.3% of GDP in BE 2026–27**, indicating continued progress in fiscal consolidation.
- Total expenditure and capital expenditure have increased steadily over recent years, highlighting the government's emphasis on **long-term investment projects**, particularly in infrastructure development.
- Revenue receipts have increased from **₹33.4 lakh crore to ₹35.3 lakh crore**, reflecting improved tax collections and stronger revenue mobilization.
- While revenue receipts show steady growth, **the sharper rise in capital receipts in FY 2026–27 suggests higher borrowing requirements** to finance the government's expanding expenditure commitments.



FISCAL DEFICIT

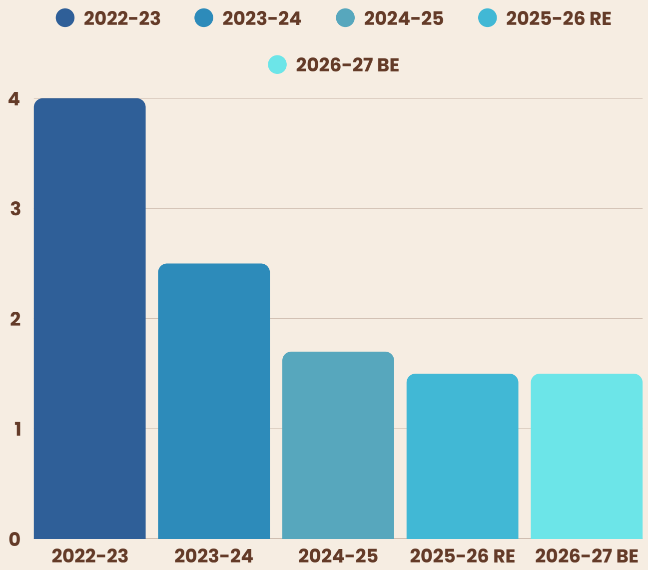
Transitioning to a Debt-Anchored Fiscal Framework

The 2026-27 budget marks a defining moment in India's fiscal consolidation journey. For the first time since the pandemic, the government has moved beyond a simple deficit target to a **"Debt-to-GDP" anchor**, signaling a more mature phase of economic management

Key Highlights:

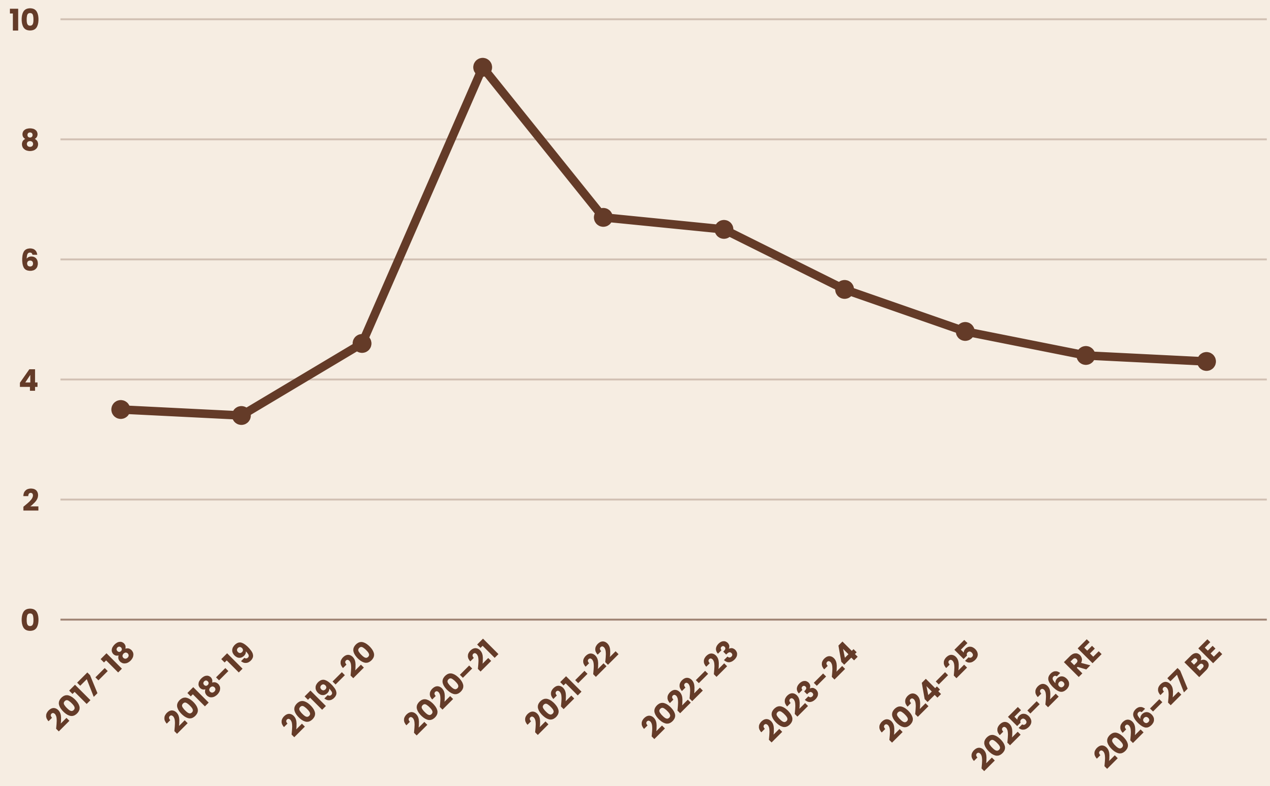
- **Targeted Consolidation:** The fiscal deficit for **BE 2026-27** is estimated at **4.3% of GDP**, a steady decline from the **4.4%** recorded in both the Budget and Revised Estimates of the previous year.
- **The New Fiscal Anchor:** The Central Government has committed to a long-term target of reaching a **debt-to-GDP ratio of 50±1% by 2030.** Currently, the ratio is projected to improve to **55.6% in FY27** from **56.1% in RE 2025-26.**
- **Capex Momentum:** Public Capital Expenditure has been scaled up to **₹12.2 lakh crore** for FY27, reflecting the government's commitment to infrastructure-led growth.

Revenue Deficit as a % of GDP



- **Revenue Deficit Stability:** The Revenue Deficit is maintained at **1.5% of GDP**, indicating that borrowings are increasingly being channeled toward asset-creating capital projects rather than daily consumption

Fiscal Deficit as a % of GDP over the years:



Budget at a Glance: 2024-25 (In ₹ Crore)

	Budgeted 2025-26	Revised 2025-26	Budgeted 2026-27	% Change (RE '26 to BE '27)
Revenue Expenditure	3,944,255	3,869,087	4,125,494	6.63%
Capital Expenditure	1,121,090	1,095,788	1,222,101	11.52%
Total Expenditure	5,065,345	4,964,875	5,347,595	7.71%
Revenue Receipts	3,420,409	3,339,890	3,533,363	5.79%
Non-Debt Cap. Receipts	76,000	64,110	118,464	84.78%
Total Receipts (Excl. Borrowings)	3,496,409	3,404,000	3,651,827	7.28%
Revenue Deficit	523,846	526,764	592,344	12.45%
% of GDP (Revenue Deficit)	1.50%	1.50%	1.50%	0.00%
Fiscal Deficit	1,568,936	1,558,492	1,695,768	8.81%
% of GDP (Fiscal Deficit)	4.40%	4.40%	4.30%	-0.1% (points)

- The Budget allocates a record ₹12.22 lakh crore to capital expenditure, emphasizing long-term asset creation over short-term spending.
- Despite this, government borrowing remains high at ₹16.96 lakh crore, with nearly 20% of total expenditure going toward interest payments, highlighting debt sustainability concerns.
- The long-term objective should be to eliminate the 1.5% revenue deficit, ensuring that borrowing is used solely for productive, wealth-creating infrastructure rather than routine expenses.

IMPORTS AND EXPORTS

The budget mentions that the digital public infrastructure 'BharatTradeNet' (BTN) digital public infrastructure will be fully operationalized to serve as a unified platform for trade documentation and financing solutions. BTN will facilitate end-to-end paperless trading by digitizing over 30 critical documents, including Bills of Lading and Promissory Notes. By standardizing data elements and providing embedded trade finance, the platform will help MSMEs access credit in real-time within their existing trade workflows

Healthcare and Pharmaceuticals:

A significant portion of the customs duty changes is dedicated to healthcare, specifically aimed at reducing the financial burden of life-saving treatments. The government has fully exempted the Basic Customs Duty (BCD) on 17 cancer drugs, which is expected to drastically lower the cost of chemotherapy and related oncological care. Furthermore, the exemption has been extended to include seven rare disease medicines and specialized medical foods (FSMP) for personal use.

Consumer Electronics and Value Addition:

To deepen value addition in the consumer electronics sector, the budget shifts focus from finished goods to the component ecosystem. Significant duty cuts have been announced for mobile phone and tablet components, including connectors, Printed Circuit Board Assemblies (PCBA), and battery covers. This measure is designed to encourage domestic companies to move beyond simple assembly and into the manufacturing of high-value components.

In the household appliance segment, the BCD on specified parts used for manufacturing microwave ovens has been removed. This is a strategic move to lower the cost of "Made-in-India" appliances, making them more competitive against imports in the domestic market and more attractive for export. The expansion of the Electronics Components Manufacturing Scheme, with an increased outlay of ₹40,000 crore, further reinforces this commitment to electronic manufacturing

Energy Security and Critical Minerals:

The trade policy in the 2026-27 budget is intricately linked to India’s green energy goals. The government has extended the BCD exemption on capital goods imported for the manufacture of lithium-ion cells for batteries to those used specifically for Battery Energy Storage Systems (BESS). This is critical for stabilizing the power grid as renewable energy penetration increases.

Moreover, the budget recognizes that processing critical minerals is essential for the high-tech and defence industries. It proposes a BCD exemption on imports of capital goods required for the processing of critical minerals in India. To complement this, "New Rare Earth Corridors" will be developed in Odisha, Kerala, Andhra Pradesh, and Tamil Nadu to promote an integrated ecosystem for mining, processing, and manufacturing.

Aviation, MRO, and Defence:

In a move to strengthen domestic aviation and defence capabilities, the budget provides BCD exemptions on components and parts required for the manufacture of civilian and training aircraft. A major highlight is the exemption of BCD on raw materials imported for the manufacture of aircraft parts used in Maintenance, Repair, and Overhaul (MRO) activities by defence units. This initiative aims to reduce the dependence on foreign MRO facilities, lower lifecycle costs for aircraft, and position India as a regional MRO hub for both civilian and defence aviation.

Seafood and Marine Exports:

To support the seafood industry, which has been hit by high tariffs in major markets like the US, the budget raises the limit for duty-free imports of specified inputs from 1% to 3% of the free-on-board (FOB) value of the previous year's export turnover. Furthermore, fish caught by Indian vessels in the Exclusive Economic Zone (EEZ) or on the high seas are now duty-free, even when landing at foreign ports, which is a major step toward supporting deep-sea fishing.

Leather and Footwear Reforms:

The leather and footwear sectors benefit from the expansion of the duty-free import facility to "shoe uppers," giving manufacturers greater flexibility in sourcing. Crucially, the export period for final products manufactured from duty-free inputs has been extended from six months to one year, addressing industry concerns about production cycles and global inventory management.

Integrated Programme for the Textile Sector:

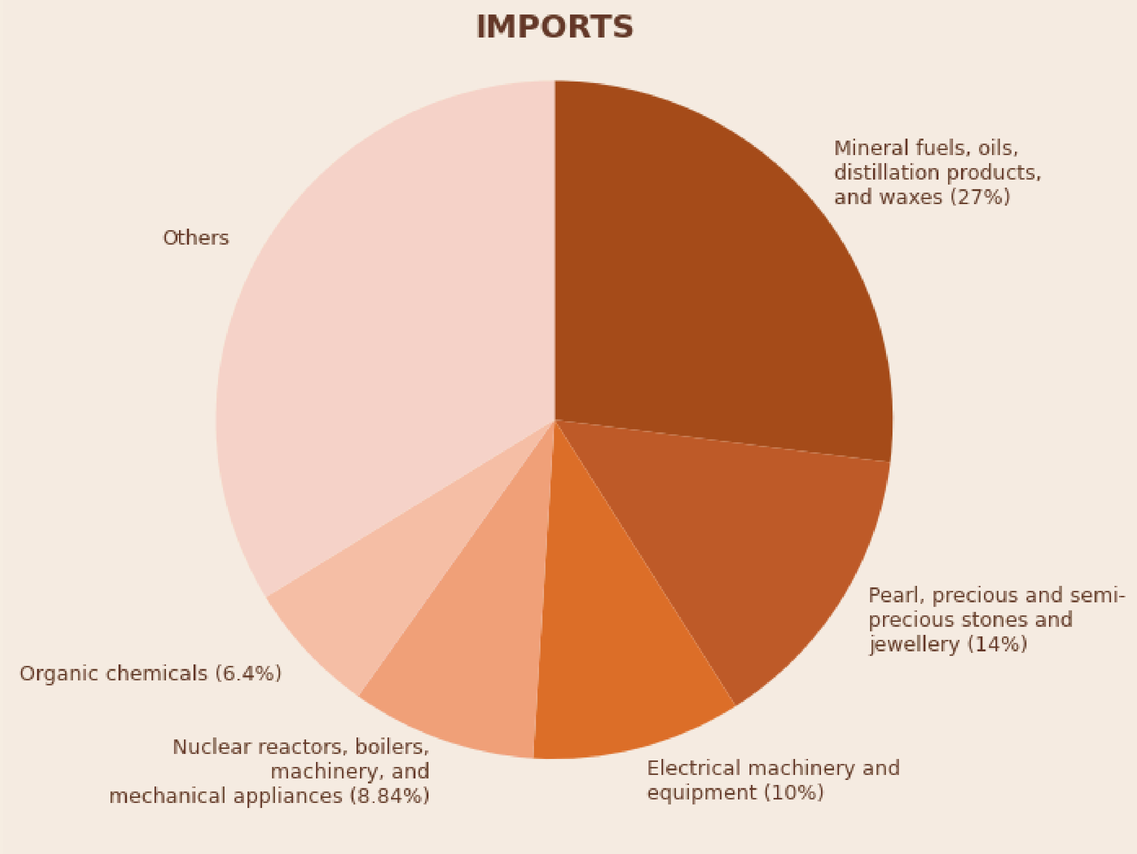
The textile sector receives a major boost through a new "Integrated Programme" consisting of five sub-parts :

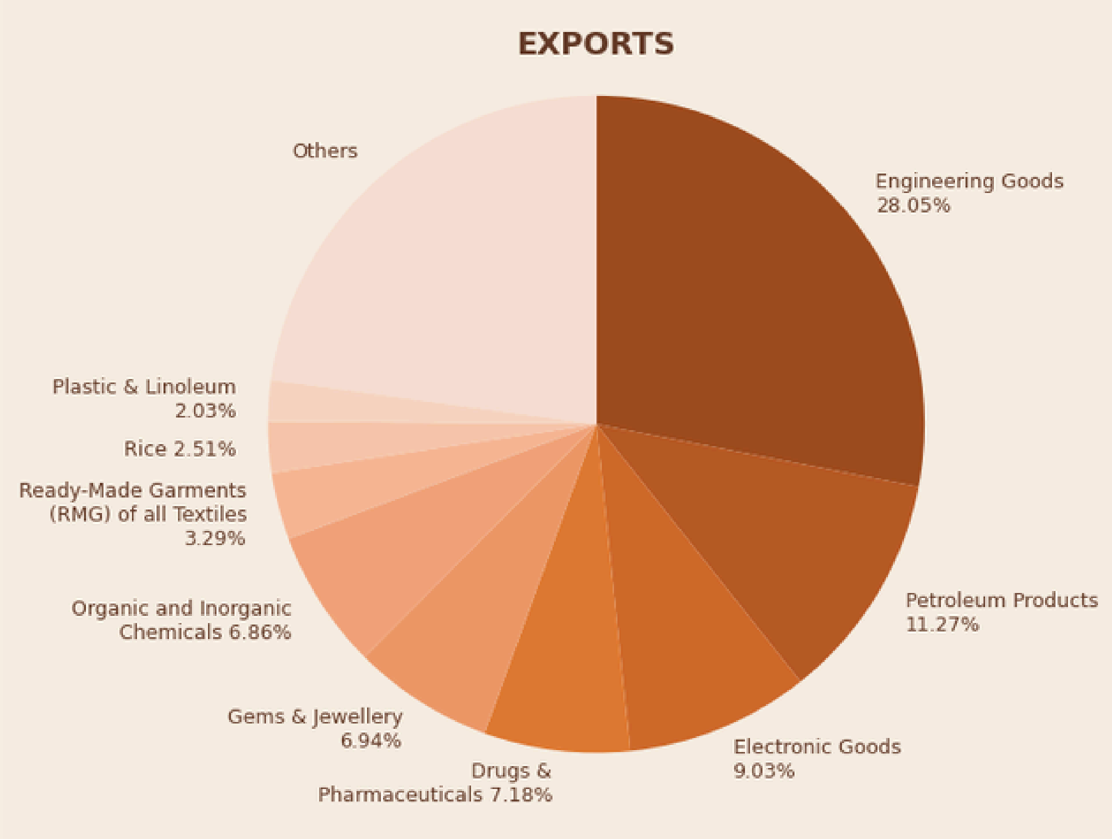
1. National Fibre Scheme: Focusing on achieving self-reliance across the fibre spectrum, including silk, wool, jute, and man-made fibres.
2. Textile Expansion and Employment Scheme: Modernizing traditional clusters through capital support for machinery and technology.
3. National Handloom and Handicraft Scheme: Strengthening existing programs for weavers and artisans to preserve cultural heritage and improve incomes.
4. Tex-Eco Initiative: Promoting environmentally sustainable manufacturing to align with global green standards
5. Samarth 2.0: Upgrading the skilling ecosystem to ensure a supply of industry-ready manpower.

Additionally, "Mega Textile Parks" will be set up through a challenge route to achieve scale efficiencies.

What We Can Conclude:

By deploying BharatTradeNet, the government is moving beyond fiscal incentives to address structural transaction costs. The strategic breakthrough in the Indo-US trade deal, which reduces reciprocal tariffs on Indian goods to 18%, restores India’s cost advantage in the world’s largest consumer market. This deal, alongside the recent EU trade agreement, positions India as a resilient and reliable node in global value chains, effectively cushioning domestic manufacturers from the "tariff-stacking" risks of a fragmenting global order.





These figures highlight a significant shift in India's trade architecture. For exports, Engineering Goods and Petroleum Products remain the dominant mainstays, while Electronic Goods have surged to a 9.03% share, reflecting a 41.94% growth driven by domestic manufacturing initiatives. On the import side, Mineral fuels continue to be the largest requirement at 27%, though this is a decrease from previous years as India seeks to diversify its energy sourcing.

SECTORAL IMPACT ANALYSIS

SECTOR	POSITIVE IMPACT	NEGATIVE IMPACT
Semiconductor	The ₹40,000 Cr ECMS outlay is a direct revenue booster for companies. They can now claim subsidies for manufacturing components. ISM 2.0 reduces reliance on imported chemicals	Pure-play assemblers who relied on the generous PLI cash (Large Scale Electronics) will see their "Other Income" drop significantly due to the 80% budget cut.
Infrastructure	With ₹12.2 Lakh Cr hitting the ground, demand for Cement and Steel will remain elevated. Likely reduction in interest rates for infra projects by 50-100 basis points.	"Contingent Liability" There is a risk that the ₹2,000 Cr allocated for this year will remain unspent (lapse) if cities cannot submit quality proposals in time.
Railways	41% hike in the Safety Fund creates an immediate, high-margin revenue boom for Signaling & Automation companies	Any future fiscal tightening by the Finance Ministry would immediately halt railway projects. 7 High-Speed Corridors rely heavily on foreign loans
Pharmaceuticals & Biopharma	Continued customs duty relief on life-saving drugs, orphan therapies and R&D inputs supports affordability and margin stability.	Commodity generics and low-value APIs remain exposed to pricing pressure and global oversupply.Faster approvals require sustained manpower and technical upgrades.
Agriculture and Rural Economy	Higher allocations toward irrigation, post-harvest storage, logistics and digital advisory platforms.	Slower growth in fertiliser and insurance outlays may strain small farmers if productivity gains lag.

Defence	The defence sector received ₹7.85 lakh crore this year, marking a higher allocation than in the previous budget.	About 19% of the budget is spent on pensions, constraining capital for technology upgrades.
FMCG	The budget's demand revival push supports growth in this volume-driven sector.	Unlike infrastructure and manufacturing, this sector receives mainly indirect support.
Automobiles	₹2,000 crore for PM E-DRIVE to expand EV charging.	No GST cut was announced for EVs or components.
Textiles	New Integrated Programme and Mega Parks aim to create 3 lakh jobs, while a 12-month export window improves cash flow.	Long park build times and strong competition from Vietnam remain key risks.
Energy	₹22,000 Cr PM Surya Ghar brings free solar power to 1 crore homes; nuclear push ensures steady clean energy.	Nuclear and green hydrogen projects are costly and take years to deliver power.
Financial Markets	A lower fiscal deficit at 4.3% supports stable interest rates, while new buyback rules favor long-term investors.	A sharp rise in STT on F&O trades increases costs, making risky retail trading less attractive.
Oil and Gas	₹30,443 Cr for Petroleum Ministry supports LPG subsidies and sector operations.	No LPG under-recovery compensation despite ~₹30,000 Cr losses, squeezing OMC margins.

SCHEME WISE ALLOCATION

SECTOR	SCHEME	BUDGET ALLOCATED	COMPARISION WITH PREVIOUS BUDGET
Roads & Highways: Last-Mile Connectivity	NHAI	~₹1.87 lakh crore	₹1.87 lakh cr (2026) vs ₹1.80 lakh cr (2025) → ↑ ~₹7,000 cr;
Public Health Infrastructure	PM-ABHIM	₹4,770 crore	₹4,770 cr (2026) vs ₹3,200 cr (2025) → ↑ ₹1,570 cr; .
Energy & Clean Technology	PM Surya Ghar Muft Bijli Yojana	₹22,000 crore	₹22,000 cr (2026) vs ₹16,000 cr (2025) → ↑ ₹6,000 cr;
Energy & Clean Technology	PM-KUSUM Scheme	₹5,000 crore	₹95,692 cr in 2026 vs ₹86,000 cr in 2025 → ↑ ~₹9,700 cr.
Energy & Clean Technology	VGF for Battery Energy Storage Systems (BESS)	₹1,000 crore	₹67,670 cr in 2026 vs ₹70,000 cr in 2025 → ↓ ₹2,330 cr
Energy & Clean Technology	CCUS (Carbon Capture, Utilisation & Storage)	₹500 crore	₹21,625 cr in 2026 vs ₹21,500 cr in 2025 → ↑ ₹125 cr.
Employment & Welfare	View Berojgari Guarantee (formerly MGNREGA)	₹95,692crore	₹95,692 cr (2026) vs ₹86,000 cr (2025) → ↑ ~₹9,700 cr
Employment & Welfare	MGNREGA (Rural Employment)	₹30,000 crore	₹30,000 cr (2026) vs ₹28,000 cr (2025) → ↑ ₹2,000 cr

Employment & Welfare	Viksit Bharat Rozgar Yojana	₹20,083 crore	₹20,083 cr (2026) vs ₹13,000 cr (2025) → ↑ ~₹7,000 cr;
Infrastructure & Utility Schemes	Jal Jeevan Mission	₹67,670 crore	₹67,670 cr in 2026 vs ₹70,000 cr in 2025 → ↓ ₹2,330 cr
Infrastructure & Utility Schemes	Pradhan Mantri Awas Yojana-Urban	₹21,625 crore	₹21,625 cr in 2026 vs ₹21,500 cr in 2025 → ↑ ₹125 cr.
Infrastructure & Utility Schemes	Pradhan Mantri Awas Yojana-Rural	₹54,917 crore	₹54,917 cr in 2026 vs ₹48,000 cr in 2025 → ↑ ₹6,917 cr.
Infrastructure & Utility Schemes	BharatNet & RDI Scheme	₹20,000 crore(each)	₹20,000 cr in 2026 vs ₹17,000 cr in 2025 → ↑ ₹3,000 cr.
Central Sector Schemes	Production Linked Incentive (PLI) Scheme (White Goods)	₹1,003.54 crore	₹1,003.54 cr (2026) vs ₹1,100 cr (2025) → ↓ ~₹96 cr
Central Sector Schemes	Startup India Seed Fund Scheme (SISFS)	₹175 crore	₹175 cr (2026) vs ₹180 cr (2025) → ↓ ₹5 cr
Central Sector Schemes	Credit Guarantee Fund	₹41.67 crore	₹41.67 cr (2026) vs ₹40 cr (2025) → ↑ ₹1.67 cr
Central Sector Schemes	Manufacturing Mission – Make in India	₹50 crore	₹50 cr (2026) vs ₹50 cr (2025) → No change
Central Sector Schemes	Uttar Poorva Transformative Industrialisation Scheme (UNNATI)	₹50 crore	₹50 cr (2026) vs ₹50 cr (2025) → No change

MISCELLANEOUS

1) MSME (Micro, Small & Medium Enterprises)

- ₹10,000 crore MSME Growth Fund to build "Champion MSMEs" and help them expand capacity, adopt technology, and compete globally.
- ₹2,000–4,000 crore top-up to Self-Reliant India Fund for risk capital support.
- Loan guarantee cover doubled to ₹20 crore for MSMEs.
- Custom credit cards up to ₹5 lakh for working capital needs.
- TReDS platform to become default for settlements → faster payments & liquidity.
- Continued push for technology adoption + skill development

2) Startups

- ₹20,000 crore for the private sector–led R&D and innovation.
- Strong push for AI, semiconductor, biotech, defence-tech startups.
- Focus on turning India from technology consumer → technology creator.
- Support for agritech + green energy startups via new initiatives.
- Loans for first-time entrepreneurs (including women/SC/ST).

3) Defence

- Continued push for defence manufacturing & PLI-linked production.
- Strategic emphasis on long-term national security and stability.
- Strengthening capability through capital expenditure expansion.
- Tech-driven modernization including defence tech ecosystem.

4) Digital India / Tech Economy

- Bharat-VISTAAR: AI + digital stack in agriculture and rural systems.
- Push for AI ecosystem, data centres, and compute infrastructure.
- Incentives for cloud services and digital infrastructure expansion.
- Investment in research fellowships (IITs/IISc) for tech innovation.
- Focus on cybersecurity, digital skilling, and modern IT systems.

INSIGHTS

- MSMEs becoming exporters + manufacturing partners
- Likely boom in industrial clusters, contract manufacturing
- India targeting global IP creation
- Deep-tech unicorns likely next decade
- Defence exports expected to grow fast
- Private defence companies gain importance
- AI + semiconductors = long-term policy priority
- Massive hiring demand in tech sectors

MARKET & INVESTMENT IMPLICATIONS

Likely Beneficiaries

- **Electronics(components)**

  Upstream: The ECMS allocation + ISM 2.0 shifts the profit pool from "Assemblers" to "Component Makers."Companies making PCBs and modules locally will see massive margin expansion.

- **Data centers and Cloud**

  Tax Holiday: The proposal for a Tax Holiday until 2047 for foreign cloud companies operating in India is a direct demand booster for Data Center developers and the power infrastructure backing them.

- **Defense**

  Record Allocation: The highest-ever defense outlay of ₹7.85 Lakh Cr, with a mandate for "Defense Indianization," favors domestic OEMs over foreign imports.

- **Railways (Tech & Signaling)**

  Safety Pivot: The 41% hike in the Safety Fund is a specific trigger for Kavach (anti-collision) technology. Unlike civil work, this is high-margin tech business. The ₹52,109 Cr for Rolling Stock ensures visibility for wagon makers.

Shortly Risked

- **Capital Market Intermediaries**

  STT Shock: The hike in Securities Transaction Tax (STT) on Futures and Options directly raises the cost of trading. This will likely hurt the fee income of exchanges and brokerages as the volume will dampen.

- **Mobile Assemblers**

  Subsidy Withdrawal: The 80% cut in the "Large Scale Electronics PLI" signals the end of easy subsidies for just assembling phones. Firms without component capabilities will face margin compression.

- **Banking (Treasury Books)**

  Yield Spike: The record ₹17.2 Lakh Cr Government Borrowing will keep bond yields high (prices down). Banks holding large government bond portfolios face Mark-to-Market (MTM) losses in their treasury income.

India’s Major Trade Engagements: EU and United States

EU–India Trade Deal: Strategic Economic Partnership

Overview

The EU–India Free Trade Agreement (FTA), often described as the “mother of all trade agreements,” is among India’s most ambitious bilateral trade initiatives. It links the European Union, a 27-nation bloc with a combined GDP of €16–17 trillion and nearly 14% of global merchandise trade, with India, the world’s fastest-growing major economy. The EU is India’s third-largest trading partner, while India ranks 10th for the EU, with bilateral goods trade of around €120–140 billion.

Negotiations launched in 2007 were revived in 2022 and reached a political breakthrough in 2026, reflecting global supply-chain realignments, rising geopolitical uncertainty, and a shared intent to reduce dependence on concentrated manufacturing hubs. More than tariff liberalisation, the agreement represents a long-term strategic alignment between two major democratic economies.

Core Objectives and Scope

The FTA seeks to:

1. Expand bilateral trade in goods and services, with 20–30% medium-term trade growth potential
2. Reduce tariff and non-tariff barriers, improving predictability for exporters
3. Improve market access for Indian textiles, pharmaceuticals, engineering goods and IT services.
4. Strengthen FDI and technology transfer, building on €100+ billion of cumulative EU investment
5. Align trade with sustainability, labour and climate standards

The agreement covers **merchandise trade, 140+ services subsectors, investment facilitation, Geographical Indications (GI), regulatory cooperation (SPS/TBT, digital trade), and supply-chain resilience.**

Key Sectoral Gains for India:

1. **Textiles & Apparel: EU imports of €175–180 billion annually**; tariff cuts from **8–12%** improve competitiveness against Bangladesh and Vietnam.
2. **Pharmaceuticals: India supplies 20%+ of global generics** by volume; regulatory cooperation supports access to a **USD 500–570 billion EU healthcare market.**
3. **IT & Services:** Europe is a major destination within **India’s USD 320+ billion services exports**; improved digital rules support cloud, AI and high-value IT services.
4. **Manufacturing & MSMEs: Tariff liberalisation across 96–99% of tariff lines boosts EU FDI**, technology transfer and MSME integration.
5. **Agriculture & Food:** GI protection (e.g., Basmati Rice, Darjeeling Tea) and SPS harmonisation improve realisations in premium agri-food exports.

Strategic Impact and Risks:

The EU accounts for **10–14% of India’s merchandise trade** and about **16% of cumulative FDI inflows**. Beyond trade volumes, the FTA strengthens India’s positioning as a rules-based, high-standard trade partner and accelerates cooperation in clean energy and green technologies.

Key risks include tariff sensitivities (automobiles, wines, dairy), high EU compliance standards affecting MSMEs, regulatory alignment costs, and unresolved IP and digital governance issues. Effective outcomes will depend on phased implementation and domestic capacity-building.

CONCLUSION

The Union Budget 2026 is a **control-and-continue** budget, prioritising risk management over bold reform. It reinforces existing growth drivers-infrastructure, clean energy, and employment support, while signalling a clear shift toward fiscal discipline.

Its strongest feature is the sustained push for capital expenditure. High allocations for highways, housing, and digital infrastructure anchor medium-term growth, while clean energy, especially rooftop solar and storage, emerges as a clear winner. Employment policy shows evolution, with a shift from open-ended welfare toward targeted, incentive-based job creation.

However, caution is also the budget's main weakness. Social sector spending sees limited real expansion, raising concerns over inclusiveness. Support for manufacturing and MSMEs remains modest and largely symbolic, relying more on intent than fiscal depth. The absence of major structural reforms further limits the budget's transformative potential.

Overall, Budget 2026 favours stability over ambition. It strengthens economic foundations and preserves macro balance, but avoids difficult reforms. The budget will act as a stabiliser, not a catalyst, its success hinging on execution rather than announcement.

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